

MBEYA UNIVERSITY OF SCIENCE AND TECHNOLOGY



COLLEGE OF INFORMATION AND COMMUNICATION TECHNOLOGY (CoICT)

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QUESTION: FRANCHISING

FRANCHISING

Franchising is a business concept where an established company (the franchisor) grants permission to another individual or company (the franchisee) to operate a business under its brand name, using its proven business model, and selling its products or services. This allows entrepreneurs to leverage a pre-established brand and system, reducing the risk and time associated with starting a new business from scratch.

Before buying into a franchise, investors should carefully read the Franchise Disclosure Document, which franchisors are required to provide. This document contains information about franchise fees, expenses, performance expectations, and other key operating details.

TYPES OF FRANCHISES

The structure of the franchise business is typically defined by the number of units offered to a franchisee and the territory development rights included in the franchising contract, which is a legally binding agreement between franchisors and franchisees.

i. Single unit franchise

In a single-unit franchise agreement, the franchisee is granted rights to open and operate a single franchise unit within a brand. This type of arrangement is the simplest and most common and is particularly appealing to first-time franchise owners as they ease into the world of franchising.

ii. Multi unit franchise

In most types of franchises, a multi-unit franchise agreement grants a franchisee the right to open and operate multiple franchise units. This type of arrangement may have specific territorial parameters, protections, and development schedules.

iii. Area development franchise

Similar to a multi-unit agreement, an area development franchise agreement grants the franchisee rights to open and operate multiple units during a specified time period. The difference is that area development franchisees are granted exclusive development rights within a particular territory, precluding other operators from opening units in that area unless they've recruited those operators to do so.

iv. Master franchise

Master franchise agreements give franchisees even more rights and capabilities than area development agreements. Beyond the contracted obligation to open a certain number of units within a defined territory, which is often another country, master franchisees act as sub-franchisors, introducing the brand and upholding its standards in a new region. They also gain the right to sell franchise units within their area to other franchisees.

USES OF FRANCHISING IN ENTREPRENEURSHIP

i. Business Expansion

Helps businesses grow rapidly into new regions or countries. Franchising allows a business to grow and open more branches without the franchisor needing to invest heavily.

ii. Brand Recognition

Each new franchise location promotes the brand name in new areas. This increases public trust, visibility, and the company's reputation.

iii. Job and Wealth Creation

Franchising creates jobs for managers, staff, and entrepreneurs. Franchisees become business owners, contributing to economic growth and community development.

iv. Market Penetration

Allows access to local markets through local franchisees who understand customer behaviour.

ADVANTAGES OF FRANCHISING

i. Business Growth

Since franchisees invest their own money to open outlets, the franchisor can grow the brand without using much of their own capital. This allows faster scaling with less financial risk.

ii. Cost Efficiency

Franchising reduces the financial burden on the original business owner. The franchisee covers most startup costs (like rent, equipment, and staffing), while the franchisor earns through franchise fees and royalties.

iii. Ease of Management

Each franchise is owned and managed independently by the franchisee, which reduces the day-to-day workload of the franchisor. Franchisees are motivated to succeed because they have invested in the business

iv. Brand Development

Franchising helps spread and strengthen the brand identity as more outlets open under the same name, offering consistent products and services.

v. Easier Access to Finance

Banks and investors are more likely to fund franchise businesses because they are based on a successful model with a history of performance.

DISADVANTAGES OF FRANCHISING

- i. High Initial Costs: Franchise fees, setup, and royalty payments can be expensive.
- ii. Limited Control: Franchisees must strictly follow franchisor guidelines and rules.
- iii. Brand Reputation Risk: One bad franchise location can hurt the overall brand.
- iv. Legal and Contractual Obligations: Complex contracts can lead to disputes or limitations on growth.
- v. Profit Sharing: A portion of revenue goes to the franchisor in the form of royalties.

THREATS/RISKS INVOLVED IN FRANCHISING

- i. Brand reputation

If one franchisee provides poor service, it can harm the entire brand's image, even if other outlets are performing well. This affects customer trust and sales across all locations.

- ii. Loss of Control

The franchisor gives some control to franchisees, which can lead to inconsistent quality, especially if franchisees don't follow standards strictly.

- iii. Initial investment

Franchisees must pay an upfront investment, including a franchise fee to gain access to the brand.

- iv. Legal Disputes

Disagreements over contracts, fees, territory, or performance can lead to lawsuits or termination of the franchise relationship, causing stress and financial loss.

SECURITY REQUIREMENT IN FRANCHISING

- i. Legal Agreements

A well-drafted franchise agreement outlines the rights, obligations, fees, brand use, territory, duration, and exit clauses. This protects both parties from legal and financial disputes.

- ii. Intellectual Property Protection

The franchisor must legally protect their trademarks, logos, brand name, and business processes to prevent misuse or unauthorized copying by franchisees or outsiders.

iii. Cybersecurity Measures

If digital systems are used both franchisor and franchisee must protect customer data, transactions, and business information with firewalls, passwords, and backups.

iv. Financial Transparency

Secure systems for handling royalty payments, sales reports, and bookkeeping are important to avoid fraud, misreporting, or revenue loss.

STRATEGIES FOR SUCCESS FRANCHISING IN ENTREPRENEURSHIP

i. Choose the Right Franchise Model

Start with a proven and scalable business model. The system should be easy to duplicate, with clear operating procedures that others can follow.

ii. Carefully Select Franchisees

Choose partners who are committed, financially stable, and share your values. A bad franchisee can harm your brand and customer trust.

iii. Provide Strong Training and Support

Offer comprehensive training in operations, customer service, and management. Provide ongoing support to help franchisees grow and maintain brand quality.

iv. Maintain Brand Consistency

Ensure all franchise outlets follow the same standards for product quality, service, and branding. Consistency builds trust and loyalty.

IMPORTANT FACTORS TO CONSIDER BEFORE LAUNCHING FRANCHISING

i. Legal Framework

Develop a solid franchise agreement, protect your trademarks, and comply with franchising laws. Legal advice is essential before you begin.

ii. Training and support

Training and support are critical for ensuring that each franchisee runs the business correctly and maintains the brand's standards.

iii. Strong Brand Identity

Your business should have a recognizable brand, including a logo, name, values, and customer experience that can be duplicated and trusted.

iv. Technology and Tools

Ensure you have the right systems and tools to manage multiple branches and track performance.

v. Scalability

Your business should be able to function well in different environments urban/rural, small/large markets without losing quality or profit.

MYTHS OF FRANCHISING

i. Franchising is only for big businesses

Franchising is not limited to global corporations. Small and medium businesses can also franchise successfully.

ii. Franchising guarantees success

Franchising lowers risk, but success depends on hard work, market conditions, and good management. It's not automatic.

iii. Franchisees have no control or freedom

Franchisees follow certain rules, but they still run daily operations, hire staff, and manage finances.

iv. Franchises are too expensive to start

Not all franchises are expensive. There are many affordable options for people with small or medium capital.

v. The franchisor does everything for you

Franchisors offer support and training, but you are responsible for running your franchise successfully.

BARRIERS OF FRANCHISING

i. Some franchise has high Initial Investment

Starting a franchise often requires a large upfront cost, including franchise fees, equipment, inventory, and setup expenses. This can limit access for entrepreneurs with low capital.

ii. Legal and Regulatory Challenges

Franchising involves complex legal contracts, intellectual property protection, and compliance with franchising laws. Lack of legal knowledge or poor contracts can cause disputes.

iii. Limited Control for Franchisees

Franchisees must follow strict rules and systems set by the franchisor, which can limit creativity, flexibility, and independence in decision-making.

iv. Risk of Brand Damage

If one franchise performs poorly or delivers bad service, it can damage the reputation of the entire brand, affecting other locations.

v. Difficulty in Finding Suitable Franchisees

It's challenging to find qualified, committed, and trustworthy partners to run new branches. A wrong choice can lead to poor performance and conflict.

